$1 with US $1 foreigner can import 2 kg of rice.

After devaluation i.e. ₹75 = US $1, with $1 the foreigner can import 3 kg of rice. It means rice is available at a cheaper rate. So, he will buy more rice. So export increases. Devaluation also increases the profit of the exporter. The reverse happens to import and hence the import will decrease.

For example, consider that a rice exporter earns ₹1 per kg as profit, before devaluation he earns ₹2 by exporting two kg and earn ₹3 after devaluation by exporting three kg. Opposite is the case with appreciation and revaluation.

Revaluation

Increase in the external value of currency is called Revaluation. For example changing the exchange rate from ₹50 = US $1 to ₹25 = US $1 is called revaluation. Revaluation is aimed at decreasing export of the country. It is usually resorted to correct the surplus in the balance of trade or current account balance. Surplus in the home country mean deficit for some other countries. To correct it, revaluation is carried out. It is very rarely done.

Note: While depreciation and appreciation takes place automatically due to movement in the demand and supply of currencies in the market, devaluation and revaluation are done voluntarily either by the government or monetary authority.

Purchasing Power Parity (PPP)

PPP, proposed by Gustav Cassel, is a method of determining exchange rate. Purchasing Power Parity refers to the equality of buying capacity. Based on the buying capacity (purchasing power) of respective currencies in their home country, the exchange rate is determined.